

# Defining the North Star Metric

Week 2 • Day 2 • Strategic Design & Metrics

TPM Academy



## Day 2 Objectives

- Recognize and rebut the **three pitfalls**: vanity dressed up, leading-indicator confusion, gameable target
- Apply the **customer outcome / segment / single number** NS template
- Pair an NS with a **counter-metric** that defends against gaming
- Pass the "**CEO and Dispatcher**" test — the same NS that lands with leadership and lands with the user
- Replace yesterday's placeholder with a defensible North Star and refresh the Tier Sheet



# Today's Shape

| Clock         | Block                           | Outcome                           |
|---------------|---------------------------------|-----------------------------------|
| 09:00 – 09:15 | Opening                         | Re-read your placeholder NS aloud |
| 09:15 – 10:30 | Block 1 + Activity 1            | Three Pitfalls Triage             |
| 10:45 – 12:00 | Block 2 + Activity 2            | Re-write your NS                  |
| 13:00 – 14:15 | Block 3 + Activity 3            | "CEO and Dispatcher" test         |
| 14:30 – 16:00 | Block 4 + Activity 4 + Readouts | Lock-in + Tier Sheet refresh      |

# Block 1 — What a North Star Actually Is

And the three ways the term gets misused



# The Working Definition

A North Star is the **single metric** whose movement signals that the **customer is winning AND the business is winning**, simultaneously.

It has three required parts:

| Part             | Test                                               |
|------------------|----------------------------------------------------|
| Customer outcome | A verb the customer would recognize, not a feature |
| User segment     | Specific enough to exclude users you don't serve   |
| Single number    | One chart, one direction, one team accountable     |



# The Three Standard Pitfalls

| Pitfall                     | Looks like                     | The tell                                       |
|-----------------------------|--------------------------------|------------------------------------------------|
| Vanity dressed up           | "Total active users",<br>"ARR" | Customers don't feel it directly when it moves |
| Leading-indicator confusion | "Time-to-first-value"          | Can move without long-term customer benefit    |
| Gameable target             | "DAU" with no quality gate     | Achievable via tactics that don't earn it      |

Annual recurring revenue (ARR), the classic "vanity dressed up" example, moves without customers feeling it.

**The trap:** A real NS smells like a key performance indicator (KPI) to the inexperienced PM. A vanity metric also smells like a KPI. The difference is whether you can name the customer outcome behind it.

# Public-Company Examples

| Company       | NS (publicly stated or inferred)                            | Why it works                                                     |
|---------------|-------------------------------------------------------------|------------------------------------------------------------------|
| Spotify       | Time spent listening                                        | Customer outcome (engagement); excludes "saved but never played" |
| Airbnb        | Nights booked                                               | Single number; both sides of marketplace win when it climbs      |
| Slack         | Messages sent within engaged teams                          | Quality gate ("engaged teams") rejects vanity                    |
| Amazon retail | Customer-defined: lowest price × selection × delivery speed | Codifies the customer-experience promise                         |

# Activity 1 — Three Pitfalls Triage

Quads • 45 minutes

Your quad receives 8 NS candidates from public companies (anonymized).  
For each: assign 0–3 pitfalls present, with a one-line argument.

- Find the one card that gets a clean bill of health
- Find the card that gets all three pitfalls
- Be ready to defend both choices

 25 min triage • 10 min argue • 10 min readout prep



# Block 2 — Drafting Your NS

From placeholder to defensible



# The NS Template

Three blanks, no exceptions:

```
We are winning when [customer outcome]  
increases for [user segment],  
measured by [single number].
```

*FieldPulse worked example:*

"We are winning when **completed reconcile-flow runs per dispatcher per shift** increases for **HVAC dispatchers in shops with 50–200 technicians**, measured by **weekly completed-flow rate**."



# The Counter-Metric (the new tool)

A **counter-metric** is a second metric that, if it moves the wrong way, signals you're winning the NS for the wrong reasons. It is the guardrail.

| NS                                  | Counter-metric                                      | What it catches                           |
|-------------------------------------|-----------------------------------------------------|-------------------------------------------|
| Hours of returned dispatcher time   | % of dispatchers calling support after the new flow | Auto-flow that moved time but broke trust |
| Tickets resolved without escalation | Repeat-ticket rate from same customer               | Closing tickets without solving them      |
| Active accounts in week 1           | 30-day retention of those accounts                  | Activation that doesn't stick             |

## Activity 2 — Re-write Your NS

Quads • 50 minutes

Each quad member proposes one NS candidate. Pitfall-test all three. Converge on one. Add a counter-metric.

- 25 min: each member drafts a candidate
- 15 min: pitfall-test all three (vanity, leading-indicator, gameable)
- 10 min: write the **NS Defense Card** with rebuttal answers + counter-metric

 15 min draft • 15 min test • 10 min defense card

# Block 3 — The "CEO and Dispatcher" Test

One NS, two audiences, no translation



# Two Audiences, Same Number

A defensible NS lands with the CEO (resource allocator) and with the target customer (the person whose life it represents) **without translation.**

## The CEO probes

- "What if it goes up 20%? What does that earn the company?"
- "Why this metric, not [adjacent KPI]?"
- "How do we know we won, not lost?"

## The customer probes

- "What changes about my Wednesday afternoon?"
- "What do I feel when it goes up?"
- "Why would I tell a colleague this got better?"

# Walk Down, Walk Up

## Walk down

From the NS to your operational signals: do they each plausibly contribute to it? Drop or replace any that don't.

## Walk up

From the NS to a business outcome leadership cares about: revenue, retention, time-to-value. Can you trace it?

## If both fail

Your NS is a KPI in disguise. Re-pick the customer outcome layer.

**The Tier Sheet, refreshed:** NS at the top, KPIs and operational signals re-checked against it. Coherence above all.

## Activity 3 — "CEO and Dispatcher"

Quad pairs • 50 minutes

Pair with another quad. Take turns being defender and challenger. Challenger plays CEO for 4 min, then dispatcher for 4 min.

- Use the persona scripts in your packet (or paraphrase)
- Defender records the strongest challenge from each role
- Note: this is rehearsal, not stand-up comedy — commit to the role

 20 min round 1 • 20 min round 2 • 10 min capture



# Block 4 — Lock In

Replace the placeholder, refresh the Tier Sheet, present



## The Lock-in Checklist

- NS uses the template (outcome / segment / number)
- All three pitfall rebuttals are written, not waved away
- Counter-metric is named and concrete
- CEO challenge is captured and addressed
- Dispatcher challenge is captured and addressed
- Walk-down: every operational signal still belongs
- Walk-up: it rolls up to a business outcome leadership cares about

## Activity 4 — Lock-In + Refresh

Quads • 55 minutes • Readouts

Final NS lock-in, walk-down/walk-up of the Tier Sheet, and a 90-second readout per quad.

- 10 min: lock the NS
- 30 min: walk-down (signals) and walk-up (KPIs & business outcome)
- 15 min: polish Defense Card and Tier Sheet for sharing

 10 lock • 20 walk • 15 polish • 90s readouts



# Day 2 Wrap

## What we built

- Three pitfalls + rebuttal habit
- NS template (outcome / segment / number)
- Counter-metric guardrail
- "CEO and Dispatcher" test
- Locked NS + refreshed Tier Sheet

## What opens tomorrow

- **Product design & UX principles**
- How a TPM partners with design without becoming a designer
- Audit a real product surface against UX heuristics

**Bring to Day 3:** One product surface (FieldPulse mobile, web, or a competitor) you want to UX-audit.

# Questions & Reflection

If your NS climbs 20% next quarter, what changes about your customer's day?